

payout. A third period follows with identical procedures. The advantage of this approach is that it is possible to generate a reasonable number of identical dividend evolutions. Six or 8 markets are conducted in a similar manner bringing the session to a close. The traders' endowments are reinitialized at the beginning of each market. Subjects are told at the outset that they will be paid based on the results of only one of the markets, and this market is chosen by a die roll (or, in the case of sessions 6 to 9, by a card draw). Since ex ante the students have no way of knowing the identity of the payout market it is in their interest to treat all markets equally seriously. Participants' experimental earnings include their cash endowment, less payments to acquire stock, plus dividends earned on stock held in the one randomly selected market. In addition, the participant with the lowest absolute prediction error in the randomly selected market receives a bonus of \$20. At the beginning of each period, participants are informed that the participant with the lowest sum of the three absolute prediction errors in the selected market will receive the bonus. At the conclusion of each session, participants compute the amount of cash they will receive and complete a post-experimental questionnaire. The purpose of the questionnaire is to collect general information about the participants and how they view the experiment. The average compensation across sessions 1 to 5 (6 to 9) is \$66.75 (\$79.66). Participants' responses on a post-experiment questionnaire indicate that they found the experiment interesting and the monetary incentives motivating.

[Table 10.2] reports information concerning the prices, bids, and price predictions for each period in the low and high endowment treatments. Along with the number of observations (N), the table reports the mean, minimum, and maximum observed value. The final columns report the difference in means across the treatments and the p-value for a test of difference in means. The table reports the test results for hypothesis 1. The average initial price in the low endowment sessions is \$17.10, while the average in the high endowment sessions is \$20.37. Our results are consistent with a house money effect in a financial setting. Market prices are higher when traders have more found money. Further, the statistics reported in [Table 10.2] indicate that, compared to the low endowment sessions, average prices in the high endowment sessions are also significantly higher in periods 2 and 3 at $p < 0.05$. Thus, the house money effect persists over time.⁷